

DISSENTING OPINION BY M. ALTAMIRA.

[*Translation.*]

I regret that I disagree both with the conclusions and the reasoning of the present judgment, and I feel it my duty to state, very briefly, the essential points upon which my dissent is based.

I.—The doctrine of the Court, which has been enunciated in Judgments Nos. 2 and 5 and is repeated in the present judgment, is that it has jurisdiction to entertain questions concerning the interpretation and application of Protocol XII of Lausanne in so far as such questions originate in, or are in their turn dependent on, a question of the interpretation or application of Article 11 of the Mandate for Palestine in connection with a concession covered by the guarantees afforded in the Protocol itself, which question therefore falls within the scope of the international obligations accepted in this respect by the Mandatory.

This necessary connection between the Mandate and the Protocol, is the condition upon which the coming into play of Article 26 of the former instrument, which confers jurisdiction on the Court, is dependent, and it arises whenever there is incompatibility between the obligations contained in the Protocol and the use made by the Mandatory of the powers bestowed upon him by Article 11 of the Mandate in the sphere of economic policy to which the concessions contemplated by the Protocol belong, and whenever, as a consequence of this incompatibility, the reservation expressly made in Article 11 in regard to these obligations is disregarded.

It is clear that, according to the article referred to, disregard of international obligations may occur when the power exercised by the Mandatory is that of providing for *public ownership* as well as when it is that relating to *public control*, that is to say, both when the Administration declares a thing or a right forming part of a previously granted and valid concession to be public property, and in so doing means itself to undertake exploitation, and when it grants this thing or

right to a person other than the original concessionnaire, in a manner involving the exercise of public control. The wording of the second sentence of Article II, paragraph I, is very clear as regards this point. According to this sentence, the "reservation concerning international obligations" covers both public *ownership* and *control*. It is no less clear that the sentence makes a definite distinction between two different powers: that of providing for ownership and that of providing for public control. Again, if the word "ownership" is here intended to convey—and it cannot well be otherwise—the idea of public or State (administration) ownership, it is obvious that "control" can only contemplate the only other form of ownership possible in connection with the development of the natural resources of the country or of works and services of public utility, that is to say, private ownership, which is economically necessary to the existence of a *private* enterprise. The degree or extent to which the administration may intervene in an enterprise of this second category, in preference to itself undertaking exploitation, is, in principle, a matter of no, or secondary, importance in characterizing the system. But one thing is certain, and that is that there is a limit to such interference which cannot be overstepped without destroying the very system established by the first paragraph of Article II, and this limit is the border line which divides public ownership from private ownership in regard to the exploitation of resources, etc. Were it possible for the interference of the administration in a private enterprise of the kind contemplated in Article II, when it uses the words "public control", to become in a particular case indistinguishable from or so closely akin to "public ownership" that it would be difficult to separate the two powers, it would be impossible to understand why a distinction has been made in the article between the two kinds of power. This conclusion would have still more weight if it were sought to interpret the expression "public control" in the Mandate as meaning only that form of intervention in which the action taken by the administration is indistinguishable from public ownership, or borrows from the latter most of its characteristic powers. It is therefore clear that the expression "public control" in Article II must cover many, if not all—a point which the

Court does not seem to accept—the possible degrees of interference by the administration in a private undertaking, but always excepting a degree of control which would obliterate the difference as regards “public ownership”. Thus, even taking a very strict interpretation, it would be at all events very difficult to limit the meaning of public control to such forms of intervention on the part of the administration as would, for instance, result in the complete or almost complete nationalization or municipalization of a private concern. Even admitting that control may assume some of these extreme forms without ceasing to be “control” and becoming something more, it is certain that it may also assume other forms of intervention on the part of the administration, or, in other words, the reservation by the administration of certain rights of intervention in the operation of the private concern.

The foregoing reasoning, which is based on legal conceptions, is borne out by the logical interpretation of Article 11. In the expression of an idea, two things are never contrasted unless it is considered that they really possess characteristics sufficiently different, and even perhaps contradictory, to enable them to be regarded as logically suitable to be contrasted; and when the expression has a legal significance, the need for the observance of this rule is greater than ever. It might even be said that Article 11 only recognizes two ways of exercising the powers granted to the Administration and that, consequently—when the method chosen is not that of public ownership—the only form of concession which is permissible in Palestine for the exploitation of the natural resources of the country or the carrying out of public works, services or utilities, is that which takes the form of public control. In that case it would be still less possible to hold that this control would only be exercised in one particular way.

2.—Strictly speaking I might have spared myself the greater part of the foregoing observations, seeing that the hypothesis therein considered of a conception of public control entirely or partially obliterating the fundamental difference between

exploitation by the administration, or public exploitation, and private exploitation does not appear in the doctrine established and explained in Judgments Nos. 2 and 5.

All that I find in regard to this point in those judgments—and this might therefore seem to compel the Court not to deviate from them—is the following:

Firstly, that public control according to the meaning of this expression in the English text of the Mandate (selected by the Court for reasons which it is unnecessary to repeat here) does not cover the actual act of granting an undertaking or concession of public utility to an individual or company (i.e. the contract by which the administration leaves economic development to a private person instead of keeping it in its own hands), but only “the various methods whereby the public administration may take over or dictate the policy of” undertakings of the kind under consideration, which methods may “accompany” the grant of the concession.

Secondly, that this somewhat wide sense of public control has not been determined by any concrete definition (save that which I will consider shortly) nor by any enumeration of the methods covered by it. It remains open therefore to all possible interpretations as to the extent and as to the form in which the taking over or supervision by the administration may take place. One single observation in this respect has been made by the Court in Judgment No. 2, because it particularly concerned the case of Mr. Rutenberg's concessions which were then under discussion. The observation in question is that concerning the connection between the *government control* stipulated in these concessions and their recognition as public utility undertakings. It seems almost useless to recall—because it is so well known—that recognition or a declaration of the character as a public service of a private enterprise of a very general nature concerned, for instance with the construction of communications (roads, railways, etc.) and the supply of water, is not necessarily accompanied by very pronounced forms of advice or of supervision over its management on the part of the administration. In many systems of legislation, it is rather a form designed to facilitate certain works of the undertaking or the fulfilment of certain necessary conditions such as the expropriation of land, the creation of servitude, etc.

Thirdly, and this might also be regarded as a definition of the characteristic methods of public control in the sense of the Mandate, Judgments Nos. 2 and 5—and especially No. 2 which, as is generally known, relates to the jurisdiction—also establish two circumstances: that the High Commissioner for Palestine had to intervene in order to approve the statutes of the company to be formed by Mr. Rutenberg to operate his concessions, and that the Jewish Agency mentioned in the Mandate also played a part therein. The latter circumstance the judgment appears to regard—to use the language of the judgment—as a manifestation “of a programme of economic policy” which is referred to several times in the Mandate and is characteristic of that instrument from this point of view. And it is because it found that these two circumstances were present in the Rutenberg concessions of 1921 that the Court in 1924 held that there was in them an exercise of public control. It could certainly not follow from this that, apart from these methods of public control, there were no others which would also be covered by the general formula then adopted by the Court. It is, however, unnecessary, from the point of view of my main argument, to proceed further with the consideration of this question, since the observations I have just made seem to me sufficient. But I think it necessary to point out, as regards the part played by the Jewish Agency in the economic policy of Palestine, that this very fact has the effect of excluding any action on the part of the public administration which would destroy the interests and character of that Organization. The recognition of that Organization as a true public body, with the rights conferred on it by Article 4 of the Mandate, implies that it must be accorded privileged or exceptional treatment which would disappear if the control exercised by the Administration were so extensive as to result in the substitution of the Administration itself for the Jewish Agency. In order to effect this substitution, the Administration might certainly base itself upon *public ownership* without having recourse to *public control*.

3.—The doctrine in regard to public control which I have just indicated as flowing from Judgments Nos. 2 and 5 is not

substantially changed in the present judgment. The conception of control still means "a situation which, although it does not take the legal form of ownership, enables the public authorities to exercise *certain* powers normally inherent in ownership", or certain measures which may accompany the grant of the concession and give it the character of public control. At the same time this conception also covers, in the present judgment, the "programme of economic policy" referred to in Article II and several other articles of the Mandate. It should, however, be observed that the "certain powers" as also the "measures" alluded to, still cover a wide field which is only limited by an exception in regard to "the right reserved in certain circumstances to the authorities in respect of concessionary undertakings", with which I will deal later on. The general nature of the terms used only serves to emphasize the great variety of forms which these "powers" and "measures" may assume in practice ; and this is doubtless what the judgment means to convey when it says that "the question whether, in a given case, there has been an exercise of the full power to provide for public control is *essentially a question that can only be decided for each particular case as it arises*".

It would indeed be impossible to construe this sentence in any other way than as the recognition of the existence of many circumstances, other than those which in 1924 were found to exist in the Rutenberg concessions and which would be peculiar to each case. It would, in my opinion, be just as difficult to make a general assumption, covering all possible contingencies, to the effect that "the right reserved in certain circumstances to the authorities in respect of concessionary undertakings, either by means of administrative regulations or by clauses inserted in the concessionary contracts, to exercise powers of advice and supervision, *does not come* within the conception of 'public control' as used in Article II". We will not pause to consider the fact that the insertion of these powers of advice and supervision in concessionary contracts is by no means essential, since it is a pure formality, as is shown by, amongst other things, the fact that in the case of the Rutenberg concessions of 1921, the powers of "public control" were set out in the actual contracts.

As regards the scope of the powers of "advice and supervision", it will suffice to recall the great variety of forms which "these two powers" of the public administration may take in a private undertaking, and likewise the variety of forms which they actually take in modern administrative law, in order to arrive at the conclusion that, even only taking into account the definitions—very few in number—accepted by the judgment as regards "certain powers normally inherent in ownership", the provisions of administrative law and of concessionary contracts, in all countries, create, and that very often, powers of advice and supervision of the same kind as those granted in the Rutenberg concessions of 1921. The line of demarcation between power of advice and supervision constituting "public control" and that which does not do so (since such a line seems desirable), does not allow of a general affirmation which at all events would discard from the conception of "control" the greater proportion of the forms which advice and supervision may take and which are usual in modern concessions, but in a varying degree, and which reserve to the Administration powers normally inherent in ownership. The distinction between the circumstances contemplated in the first of the quotations from the judgment, given at the beginning of this reasoning, and those contemplated in the second quotation, does not therefore correspond to a situation of fact separating two different domains in the relations between the Administration and private enterprises from the standpoint of the freedom of action of the latter or the intervention of the former.

After all, of all the forms and degrees which the public control mentioned in Article 11 may assume, the only ones which are of importance in each given case for the solution of the question of the Court's jurisdiction now under consideration, are those which would be incompatible with the rights of a previous concession, which must be maintained and protected in accordance with the obligations established by Protocol XII and reserved by Article 11 of the Mandate. For this fundamental reason, it was possible to say that a series of acts tending to set aside, and render impossible to carry out, certain concessions, in order to give free play to the Zionist

economic policy of the Mandate, may constitute a method of exercising public control. In my opinion this is certainly the case.

4.—In any case it is an accepted fact that, according to Article 11, the Administration must employ the powers which were conferred upon it in such a way as not to contravene the obligations which the Mandatory has accepted as regards the maintenance and respect of formerly valid concessions. This undertaking cannot, in my opinion, be understood as meaning that it does not contemplate all the acts which might endanger the respect or the maintenance of the concessions indicated above. It cannot therefore end in the accomplishment of a single and formal act, representing the initial stages of respect and maintenance, but on the other hand it must include all the elements which would be necessary for the effacement of any form of contradiction between the application of a measure of public control relating to a concession of that kind and the respect and maintenance of another concession granted under the Protocol. That would be the case in the event of the signature of a contract for readaptation followed by acts which rendered the adaptation itself ineffective. It goes without saying that the consequences would be all the more harsh in the case where the contract for readaptation had annulled the former concession which had been the subject of such readaptation; because if by that fact the original concession totally disappeared while the one which had been substituted for it had been rendered incapable of execution, what then would remain of the rights of the concessionnaire? It becomes clear that under any other assumption the guarantees provided for under the Protocol and affirmed under Article 11 of the Mandate would be entirely illusory.

It is thus obvious that every time we find ourselves confronted with such contradiction, we are entitled to say that the matter comes under the operation of Article 11 and consequently of Article 26 of the Mandate.

5.—In the case under consideration, this contradiction appears to have arisen with regard to the facts, the nature and interpretation of which are the subject of the dispute submitted to the Court by the Application of May 28th, 1927.

Substantially, the grounds for the dispute are to be found in certain difficulties which the Palestine Administration and the Colonial Office had made to the carrying out in a reasonable time of certain conditions without which the concession granted to M. Mavrommatis as a readaptation of his former concession would be practically cancelled. The words "delays" and "hostility" employed in the conclusions of the Case of the Greek Government serve to show the nature of the alleged difficulties.

Whatever the nature of these acts may be, whether positive or negative, the Greek Government claims that they were due to the fact of the existence of a concession granted by the Administration to Mr. Rutenberg which the latter claimed covered one of the elements considered by M. Mavrommatis to be essential for his concession. The fact that this allegation affected in a certain respect and to a certain degree the delays and the other acts of the authorities alleged by the Greek Government, is in my opinion clearly established. I am led to believe this is owing to two circumstances amongst others. The first amongst them is the suggestion made by the Colonial Office to Sir H. Greenwood on July 9th, 1926, to confer with Mr. Rutenberg with regard to the opposition set up by the latter with regard to the readaptation M. Mavrommatis had obtained on February 25th of the same year. This suggestion would certainly not have been made if the Colonial Office had not then thought that there was something more or less well founded in Mr. Rutenberg's opposition. Many of the acts of the Administration during the year 1926 may be explained on the assumption of this opinion. The second circumstance which goes to confirm what would otherwise be simple conjecture in what I have just stated is to be found in the explanation given by Counsel for the British Government in his reply made at the public hearing on September 10th last with regard to the delay by the authorities in deciding whether there had really been a contradiction, as alleged by Mr. Rutenberg, between his concession and that of M. Mavrommatis as far as concerns the use of the El-Audja source. It is impossible to judge now of the weight or of the justification of the grounds upon which, according to this explanation, the delays of the

authorities rested, because this question appertains to the merits of the case and not to the question of the jurisdiction of the Court to adjudicate upon those merits. But the fact of the existence of these grounds suffices for the question which the Court is now called upon to determine.

The essential facts for the purpose of reaching a decision are the following :

(1) The concession upon which Mr. Rutenberg's opposition was founded had been granted to him by the Administration in the exercise of its public control. As regards the original form of the concession of September 12th, 1921, the Court has already in its previous judgments stated its opinion. As regards the confirmation of the concession on March 5th, 1926 (clause 3 [A]), it is sufficient to say that it brought about no change and is confined to guaranteeing its maintenance. Moreover, the Court has recognized that this confirmation, which may certainly be defined as a final grant, is an act undertaken by virtue of the full powers provided for under Article 11 of the Mandate. It is thus in the same situation as the other concession of Mr. Rutenberg, which was the subject of dispute settled by Judgments Nos. 2 and 5.

(2) In 1924 the concession of September 12th, 1921, called "El-Audja Concession", was not in contradiction with any of the previous valid concessions of M. Mavrommatis. Nor could there in 1926, it seems, have existed any contradiction with the readapted concessions of M. Mavrommatis, unless the El-Audja concession were to be interpreted as a monopoly over the waters of that source considered as having been necessarily granted to Mr. Rutenberg for the purpose of generating the supply of electrical energy and thus preventing the use by M. Mavrommatis of these same waters which were considered technically to be necessary for the sufficient supply of the town of Jerusalem and consequently for the carrying out of the concession itself. This eventuality was not provided for in the Rutenberg concession of March 5th, 1926, because that concession, although subsequent to M. Mavrommatis' readapted concessions (of February 25th), only referred in clause 3 to one of the latter such as it was granted in 1914 by the Municipality of Jerusalem for the supply of electricity and electric tramways, a concession which did not refer to the

waters of El-Audja, and the Rutenberg concession of September 12th, 1921, and was confined to guaranteeing them both against the possible and inconsistent application to them of the concession granted to the Palestine Electric Corporation. Nothing was thus said with regard to the water concession of Jerusalem granted to M. Mavrommatis, although on March 5th the possibility might have been foreseen of a conflict between the El-Audja concession of Mr. Rutenberg and this concession of M. Mavrommatis, owing to the fact that under clause 6 of the contract of February 25th (a clause which is a typical clause of readaptation, namely, of bringing an undertaking into conformity with the new economic conditions of the country) "a source or sources" was mentioned capable of providing not less than 6,000 cubic metres of water per day and up to a maximum of 11,000, and that technical opinions had already been given that this condition could not be fulfilled unless the El-Audja waters were utilized. The fact that at the time of the grant of an electricity concession a water concession, the property of Mr. Rutenberg, had been reserved, would have made possible without any hardship a reservation also of the concession for the supply of water newly granted to M. Mavrommatis.

(3) Although it may be admitted that in form there was no express incompatibility in the terms of the two concessions of Rutenberg and the two concessions of Mavrommatis, Mr. Rutenberg endeavoured to question the matter. All his opposition during 1926, all his attempts to approach M. Mavrommatis in order to get rid of him in the Jerusalem undertakings, all his threats with regard to M. Mavrommatis and even to the British authorities, were based on the claim that his concession of September 21st, 1921, finally granted on March 5th, 1926, conferred upon him a monopoly over the El-Audja waters and on that ground he could prevent the carrying out of the Mavrommatis concession which depended upon the approval of the plans in which the El-Audja waters were included as indispensable.

We are therefore confronted with a concession—that of Mr. Rutenberg—granted, as has already been stated, in the exercise of public control and which had become incompatible with another concession—that of M. Mavrommatis—which

belongs to the type of concessions coming under the guarantee of international obligations provided for under Article 11 of the Mandate. The fact, recognized some months later by the authorities, that Mr. Rutenberg's allegation was ill-founded in law, does not deprive that allegation of being in the nature of an obstacle which had effectively been in the way of M. Mavrommatis' concession during a certain time, a time sufficient to produce the disastrous economic consequences of which the Greek Government complains. If Mr. Rutenberg's allegation had been well-founded, it would have produced exactly the same result with this difference: that these results would not have come to an end at a certain date in the way in which they have done in the present case. But it must again be repeated that the time during which opposition was made was sufficient to bring about the vexatious consequences for the Mavrommatis concession which constitute the subject matter of the discussion between the Parties.

The difference between an allegation founded in law, and another which is not, but which has the same effect, is not sufficient in a case such as the present one to destroy, in the facts which have taken place, the characteristics necessary for founding the jurisdiction of the Court, that is to say, in order to consider them as being included in the category of facts which, being in themselves a direct exercise of public control by the Administration or resulting from such a previous exercise, lead in practice to incompatibility with the obligations concerning the respect and maintenance of the concessions guaranteed under Protocol XII. A mere external form should not be sufficient. It does not appear to be in conformity with juridical common sense to consider that the only method of acting in a manner contrary to and of infringing the respect and maintenance of a concession is the existence, in another concession granted in the exercise of public control, of a clause which directly contravenes the rights of the earlier one or which would give to the concessionaire of the second the possibility of contravening the other. In the 1924 case it was the existence in the Rutenberg concessions of Article 29, the application of which led to the failure in respect for and maintenance of the concessions of M. Mavrommatis. It should be recalled that Mr. Rutenberg

did not make use of this article in 1921-1924. However, the mere existence of that article and the effect which it seemed to produce on the attitude of the Palestine and British authorities with regard to the rights of M. Mavrommatis is sufficient for the Court for the purpose of determining that, in the practical case under consideration, there was a valid reason for ruling that it had jurisdiction.

The identity between this situation in 1924 and that existing in the present case seems to me to be so strong that it would be impossible in my opinion to justify a decision to the contrary.

As concerns the significance to be attached to the acts now imputed to the Palestine and British authorities in connection with the interests represented by the Mavrommatis concession, regard must also be had to the well known fact that law is not an abstract and merely speculative science. On the contrary, it is a practical force which reacts on human life, and generally with a view to the achievement of practical aims. These aims, in the case of rights over property, assume an essentially economic character. If these aims are affected by facts which result in an irreparable injury, those facts will not disappear simply through the intervention of a tardy declaration to the effect that they are, it is claimed, not legally justified. That is exactly what the Greek Government says in the present case and what the British Government denies. The Court cannot give a decision at the present stage of the proceedings, as this question—in regard to which moreover I make all necessary reservations—belongs to the merits of the case. But it is precisely for this reason and because of the conditions in regard to the existence of public control and the conflict between one concession which falls within the scope of that conception and another which is covered by the international obligations accepted by the Mandatory, that it appears to me to be established that the Court should reserve the case for decision on the merits.

I do not wish to terminate without explaining that in all the foregoing, I only have in mind the Court's right to declare itself to have jurisdiction. It is by reason of my respect for this right, which I consider made out in the present case, that I have dissented from the judgment. I do not intend my opinion to have the slightest bearing upon the opinion the Court might adopt (or that I might adopt myself) in

regard to the merits of the case, that is to say, the question whether there has really been a violation of international obligations as regards the responsibility of the British authorities, if the Court were to hear that question, nor to prejudge the solution of that question in any way in so far as I myself am concerned. Just as Judgment No. 2 did not and could not decide this question in the case of the application of 1924, I think that a decision in favour of jurisdiction in the case now before the Court would also be incapable of deciding in advance the case on the merits, just as, moreover, a decision against jurisdiction, such as the present judgment, could in no case be supported upon an opinion to the effect that, contrary to the contention of the Greek Government, there has been no violation by the British Government of its international obligations.

6.—Having regard to the reasons for my opinion, based on the questions raised by Article 11 of the Mandate, I do not think it necessary to consider the other question whether the case, indicated in Judgment No. 5 (page 26) in regard to the possibility of deciding disputes concerning the application of Articles 4 and 5 of Protocol XII without the necessity for a fresh agreement between the Parties, has or has not arisen. I will confine myself to saying that, in my opinion, it would have been possible to argue this point, if it had been thought advisable to do so.
